ASTANA IT UNIVERSITY

Carrefour and Magnum Cash and Carry

Assignment 1 Business Report

Course: Business Administration
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1. Business context

Magnum should concentrate on reliable product availability and affordable shopping, testing AI where it can help with these tasks. Magnum Cash&Carry is a Kazakhstan-based retailer that also serves business customers through wholesale operations [1]. Carrefour, Company A, provides a comparison because its public reporting covers an international retail business with franchised operations [2]. This report focuses on Magnum's Kazakhstan business. Carrefour's experience can suggest what to test, but cannot establish what Magnum will earn from it.

The economic issue carried forward from Weekly Record 1 is affordability. Kazakhstan's annual inflation was 9.8% in August 2026, according to the Bureau of National Statistics release of 1 September [3]. This makes price and purchasing decisions important, although it does not tell us which products Magnum shoppers will choose. Store sales and customer feedback are needed before changing an assortment.

BNS also reported that e-commerce represented 14.3% of Kazakhstan's retail trade in 2025 [4]. This includes marketplaces and is not a grocery-specific measure. It supports examining digital shopping, rather than assuming customers want an AI assistant. SMALL's retail and technology presence provides a relevant local comparison [5]. Magnum therefore needs to judge any proposed improvement against ordinary shopping and ordering, including whether the extra cost is justified. A convenient search tool has limited value when the recommended item is unavailable.

2. Environment and stakeholders

Weekly Record 2 prioritises customers, regulators and employees for the proposed catalogue-search trial. Customers bear the direct consequences of unsuitable recommendations. Regulators influence permitted data processing, while employees must identify errors and handle complaints. Suppliers need accurate descriptions and fair visibility; owners need a viable business. Communities are affected by waste. Magnum's corporate rules address customer safety, supplier selection and reporting concerns [6]. These commitments establish expectations, but do not show how consistently individual stores meet them.

The clearest ethical tension concerns loyalty data. Magnum Club offers bonuses and offers based on customer interests, and its privacy policy describes purchase and application information [7]. Additional personalisation might encourage sales while making shoppers less comfortable about how much the company knows. Kazakhstan's Personal Data Law establishes principles including lawfulness and confidentiality [8]. Before any new use, the privacy and legal teams should review its purpose, access permissions and customer choices. A published policy alone cannot establish that a proposed AI workflow meets these obligations.

Global trade adds another responsibility. Magnum's supplier portal provides routes for resident and non-resident suppliers [9]. Currency changes, transport costs and uncertain deliveries could affect purchases, although this does not establish an import share or an actual disruption. Procurement should compare

delivered cost and reliability while preserving product standards and fair treatment. Cheap sourcing loses value if goods arrive too late or spoil before sale.

The CSR discussion in Weekly Record 2 distinguishes viable operations, legal compliance, fair treatment and voluntary community support. Charitable giving cannot compensate for misleading recommendations or ignored complaints. For the search trial, the digital team should compare errors in Kazakh and Russian, and a service manager should own corrections and escalation. Staff should be able to challenge suggestions without pressure to approve them. Any food-waste claim needs a baseline and a consistent measure. Appendix Table 2 applies these obligations to the proposed search process. Expansion should depend on reliable service and acceptable costs, with unresolved privacy or safety concerns stopping the trial.

3. Business model and ownership

Magnum creates value by bringing products together where households and businesses can buy them. Its retail and wholesale activities serve different purchasing needs [1]. A household buys a basket for personal use; a business may need repeated supplies. In both cases, availability and convenience matter. Revenue comes from sales. After paying for goods, the remaining margin must cover wages, premises, logistics and other operating costs before there is profit. An increase in sales is therefore not sufficient evidence that a new service pays for itself.

Stock connects this model to risk. Goods waiting on shelves tie up money, while missing products can lose a sale. Perishable goods add the possibility of waste. Assisted forecasting could help managers decide what to order, but poor stock records would also make its recommendations unreliable. The comparison should include forecast errors, unavailable products, waste and staff time. These are proposed measures, not reported results for Magnum.

The company identifies its legal form as an LLP, or TOO [7]. Under Kazakhstan’s partnership law, participants generally risk their contributions, subject to statutory exceptions; the partnership remains responsible for its obligations. The participants’ general meeting is its highest governing body [10]. This separates ownership from daily execution without removing management accountability. The sources used here do not establish Magnum’s beneficial owners or internal approval limits, so neither is assumed.

Weekly Record 3 treats a category manager’s trial as intrapreneurship within Magnum. A budget and stopping condition allow an idea to be tested without changing ownership. Magnum Club demonstrates digital customer interaction [7], but does not establish AI deployment. Combining the three records supports a narrower investment decision: improve ordering before expanding personalisation. If stock records prove unreliable during promotions, the verdict changes from pilot to delay until records are reconciled. Appendix Table 3 tests this changed assumption against costs and service outcomes.

4. Comparison and transfer judgment

Adapt product search. Carrefour introduced Hopla in France in June 2023 [11]. Its later announcement describes Hopla+ and shopping through ChatGPT [12]. Magnum could adapt the underlying catalogue search rather than copy the whole service. Questions in Kazakh and Russian should return products from the relevant catalogue with accurate availability. Ordinary search and staff assistance should remain available. The benefit depends on successful shopping, not on how fluent the reply sounds.

Pilot demand forecasting. Carrefour and SAS described using AI to support its supply chain [13]. This supports testing the process, not assuming the same return at Magnum. A trial should compare assisted forecasts with current ordering under comparable conditions. Category managers should approve orders and record corrections, including problems caused by promotions or missing stock data.

Adopt the principle of supplier accountability. Carrefour’s supplier ethics charter covers working conditions, safety and confidential reporting [14]. Magnum already has corporate rules [6], so the useful

transfer is to check that purchasing decisions and complaint handling put those commitments into practice. It is not a reason to introduce another policy without checking the existing arrangements.

Delay additional personalisation based on shopping histories. Carrefour's newer shopping service includes purchase-history suggestions [12], but Magnum should first establish a clear purpose, acceptable data handling and a benefit beyond its existing loyalty offers. Reject fully autonomous order approval at this stage. This is a boundary for the proposed Magnum trial, not a claim that Carrefour operates without people. Local performance, costs and accountability remain unresolved. These different verdicts reflect the risks of each activity rather than a general decision to accept or refuse AI.

5. Recommendations

First, the inventory team and category managers should select a manageable product category and pilot assisted forecasting. Keep current ordering as the comparison and retain manual approval. Success would mean fewer stockouts and less waste, with benefits exceeding software and staff costs [13].

Second, the digital team should test catalogue search with equivalent Kazakh and Russian shopping questions. Store staff should check matches and availability, comparing errors across languages. The service manager should record corrections and complaints; expand only if shoppers find suitable products more reliably than with ordinary search [11], [12].

Third, the privacy and legal teams should review proposed uses of Magnum Club data before adding personalisation. Document the purpose, access and customer choices. Successful completion means that unnecessary data are excluded and the proposed use has an approved legal basis [7], [8].

Finally, procurement and store managers should review supplier complaints and delivery exceptions together. Record resolution and recurrence. Success would mean fewer repeated issues and quicker resolution while product standards are maintained. This tests whether Magnum's existing commitments influence purchasing and service [6].

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